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**AS AMENDED**

By: Caldwell (Trey) and Lawson  
of the House

Murdock of the Senate

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1 appointed by any state or federal court, or otherwise, syndicate, or  
2 any political subdivision of the state or combination acting as a  
3 unit, in the plural or singular number;

4 3. The term "wholesaler", "distributor" and/or "jobber" is  
5 defined to mean and include a person, firm or corporation organized  
6 and existing, or doing business, primarily to sell cigarettes to,  
7 and render service to retailers in the territory such person, firm  
8 or corporation chooses to serve, and that:

9 a. purchases cigarettes directly from the manufacturer,

10 b. at least seventy-five percent (75%) of whose gross  
11 sales are made at wholesale,

12 c. handles goods in wholesale quantities and sells  
13 through salespersons, advertising and/or sales  
14 promotion devices,

15 d. carries at all times at its principal place of  
16 business a representative stock of cigarettes for  
17 sale, and

18 e. comes into the possession of cigarettes for the  
19 purpose of selling them to retailers or to persons  
20 outside or within the state who might resell or retail  
21 such cigarettes to consumers.

22 In addition to the foregoing, and irrespective of the percentage  
23 or type of sales, the term "wholesaler", "distributor" and/or  
24 "jobber" shall also include all purchasers of cigarettes making

1 purchases directly from the manufacturer for distribution at  
2 wholesale or retail sale and this shall not affect the requirements  
3 relating to retail licenses;

4 4. The term "retailer" is defined to be:

5 a. a person who comes into the possession of cigarettes  
6 for the purpose of selling, or who sells them at  
7 retail, or

8 b. a person, not coming within the classification of  
9 wholesaler, distributor and/or jobber as herein  
10 defined, having possession of more than one thousand  
11 cigarettes;

12 5. The term "consumer" is defined to be a person who receives  
13 or who in any way comes into possession of cigarettes for the  
14 purpose of consuming them, giving them away, or disposing of them in  
15 a way other than by sale, barter or exchange;

16 6. The term "Tax Commission" is defined to mean the Oklahoma  
17 Tax Commission;

18 7. The term "sale" and/or "sales" is hereby defined to be and  
19 declared to include sales, barter, exchanges and every other  
20 manner, method and form of transferring the ownership of personal  
21 property from one person to another, and is also declared to be the  
22 use or consumption in this state in the first instance of cigarettes  
23 received from without the state or of any other cigarettes upon  
24 which the tax has not been paid. The term "first sale" shall mean

1 and include the first sale or distribution of cigarettes in  
2 intrastate commerce or the first use or consumption of cigarettes  
3 within this state;

4 8. The term "stamp" as herein used shall mean the stamp or  
5 stamps by use of which:

6 a. the tax levied pursuant to the provisions of Section  
7 301 et seq. of this title is paid,

8 b. the tax levied pursuant to the provisions of Section  
9 349 of this title is paid, or

10 c. the payment in lieu of taxes authorized pursuant to a  
11 compact entered into by the State of Oklahoma and a  
12 federally recognized Indian tribe or nation pursuant  
13 to the provisions of subsection C of Section 346 of  
14 this title is paid;

15 9. The term "drop shipment" shall mean and include any delivery  
16 of cigarettes received by any person within this state when payment  
17 for such cigarettes is made to the shipper or seller by or through a  
18 person other than the consignee;

19 10. The term "distributing agent" shall mean and include every  
20 person in this state who acts as an agent of any person outside the  
21 state by receiving cigarettes in interstate commerce and storing  
22 such cigarettes subject to distribution or delivery upon order from  
23 the person outside the state to distributors, wholesale dealers and  
24 retail dealers, or to consumers. The term "distributing agent"

1 shall also mean and include any person who solicits or takes orders  
2 for cigarettes to be shipped in interstate commerce to a person in  
3 this state by a person residing outside of Oklahoma, the tax not  
4 having been paid on such cigarettes;

5 11. The term "vending machine" shall mean and include any coin  
6 operating machine, contrivance, or device, by means of which  
7 cigarettes are sold or dispensed in their original container;

8 12. The term "use" means and includes the exercise of any right  
9 or power over cigarettes incident to the ownership or possession  
10 thereof, except that it shall not include the sale of cigarettes in  
11 the regular course of business;

12 13. a. The term "delivery sale" means any sale of cigarettes  
13 to a consumer in Oklahoma where either:

14 (1) the purchaser submits the order for such sale by  
15 means of a telephonic or other method of voice  
16 transmission, the ~~mails~~ mail or any other  
17 delivery service, or the Internet or other online  
18 service, or

19 (2) the cigarettes are delivered by use of the ~~mails~~  
20 mail or other delivery service.

21 b. A sale of cigarettes which satisfies the criteria in  
22 subparagraph a of this paragraph shall be a delivery  
23 sale regardless of whether the seller is located  
24 within or outside of Oklahoma.

1           c.    A sale of cigarettes not for personal consumption to a  
2                   person who is a wholesale dealer or a retail dealer  
3                   shall not be a delivery sale.

4           d.    For purposes of this paragraph, any sale of cigarettes  
5                   to an individual in Oklahoma shall be treated as a  
6                   sale to a consumer unless such individual is licensed  
7                   as a distributor or retailer of cigarettes by the Tax  
8                   Commission;

9           14.   The term "delivery service" means any person, including but  
10           not limited to the United States Postal Service, that is engaged in  
11           the commercial delivery of letters, packages, or other containers;

12           15.   The term "manufacturer" means any person who manufactures,  
13           fabricates, assembles, processes, or labels a finished cigarette; or  
14           imports, either directly or indirectly, a finished cigarette for  
15           sale or distribution in this state;

16           16.   The term ~~"mails"~~ "mail" or "mailing" means the shipment of  
17           cigarettes through the United States Postal Service;

18           17.   The term "shipping container" means a container in which  
19           cigarettes are shipped in connection with a delivery sale; and

20           18.   The term "shipping documents" means bills of lading,  
21           airbills, or any other documents used to evidence the undertaking by  
22           a delivery service to deliver letters, packages, or other  
23           containers.

1       SECTION 2.       AMENDATORY       68 O.S. 2021, Section 321, is  
2 amended to read as follows:

3       Section 321. A. The following sales are hereby exempted from  
4 the stamp excise tax levied pursuant to the provisions of Section  
5 301 et seq. of this title:

6       1. All cigarettes sold to veterans hospitals and state operated  
7 domiciliary homes for veterans located in the State of Oklahoma, for  
8 distribution or sale to disabled ex-servicemen or disabled ex-  
9 servicewomen interned in, or inmates of, such hospitals, or  
10 residents of such homes;

11       2. All sales to the United States;

12       3. All sales to a federally recognized Indian tribe or nation  
13 which has entered into a compact with the State of Oklahoma pursuant  
14 to the provisions of subsection C of Section ~~4~~ 346 of this ~~act~~ title  
15 or to a licensee of such a tribe or nation, upon which the payment  
16 in lieu of taxes required by the compact has been paid; and

17       4. All sales to a federally recognized Indian tribe or nation  
18 or to a licensee of such a tribe or nation upon which the tax levied  
19 pursuant to the provisions of Section ~~4~~ 349 of this ~~act~~ title has  
20 been paid.

21       B. To the sale of cigarettes that are intended to be heated  
22 rather than burned shall be applied a tax exemption equal to fifty  
23 percent (50%) of the tax levied pursuant to the provisions of  
24 Section 301 et seq. of this title.

SECTION 3. AMENDATORY 68 O.S. 2021, Section 322, is amended to read as follows:

Section 322. The Oklahoma Tax Commission shall prescribe such rules and make such regulations as to the sale or distribution of cigarettes, and the exemption from the stamp excise tax thereof, as shall be deemed necessary to comply with the provisions of ~~the preceding section~~ Section 301 et seq. of this title, including the creation of distinct stamps to affix to packages of cigarettes that are intended to be heated rather than burned, and provide that such stamps be made available on or before the effective date of this act.

SECTION 4. AMENDATORY 68 O.S. 2021, Section 402, is amended to read as follows:

Section 402. There shall be levied, assessed, collected and paid in respect to the articles containing tobacco enumerated in Section 401 et seq. of this title, a tax in the following amounts:

1. Little Cigars. Upon cigars of all descriptions made of tobacco, or any substitute therefor, and weighing not more than three (3) pounds per thousand, the tax levied on the products coming under this paragraph shall be equal to the tax on such products that is reported and paid as cigarette tax under Sections 301 through 325 of this title. Further, the tax levied herein shall be paid in the same manner as required in Sections 301 through 325 of this title;



1        2. Cigars. Upon cigars of all descriptions made of tobacco, or  
2 any substitute therefor, weighing more than three (3) pounds per  
3 thousand and having a manufacturer's recommended retail selling  
4 price, under the Federal Code, of not exceeding four cents (\$0.04)  
5 per cigar, one cent (\$0.01) for each cigar;

6        3. Cigars. Upon all other cigars of all descriptions made of  
7 tobacco, or any substitute therefor, and weighing more than three  
8 (3) pounds per thousand, Twenty Dollars (\$20.00) per thousand. For  
9 the purpose of computing the tax, cheroots, stogies, etc., are  
10 hereby classed as cigars;

11       4. Smoking Tobacco. Upon all smoking tobacco, the tax shall be  
12 twenty-five percent (25%) of the factory list price exclusive of any  
13 trade discount, special discount or deals; and

14       5. Smokeless Tobacco. Upon smokeless tobacco, the tax shall be  
15 ~~twenty percent (20%) of the factory list price exclusive of any~~  
16 ~~trade discount, special discount or deals~~ One Dollar and seventy-two  
17 cents (\$1.72) per ounce and a proportionate tax at the same rate on  
18 all fractional parts of an ounce thereof. The tax on smokeless  
19 tobacco shall be imposed based on the net weight of the product as  
20 listed by the manufacturer.

21       It shall not be permissible for a retailer to advertise that the  
22 retailer will absorb the tax due on the taxable merchandise  
23 described herein. Such tax shall be paid by the consumer.

1       Notwithstanding any other provision of law, the tax levied  
2 pursuant to the provisions of Section 401 et seq. of this title  
3 shall be part of the gross proceeds or gross receipts from the sale  
4 of tobacco products, or both, as those terms are defined in  
5 paragraph 12 of Section 1352 of this title.

6       SECTION 5.       AMENDATORY       68 O.S. 2021, Section 402-1, is  
7 amended to read as follows:

8       Section 402-1. In addition to the tax levied by Section 402 of  
9 this title, there is hereby levied upon the sale, use, exchange or  
10 possession of articles containing tobacco as defined in Section 402  
11 of this title, a tax in the following amounts:

12       1. Upon cigars of all descriptions made of tobacco, or any  
13 substitute therefor, and weighing more than three (3) pounds per  
14 thousand, and having a manufacturer's recommended retail selling  
15 price, under the Federal Code, of more than four cents (\$0.04) for  
16 each cigar, Ten Dollars (\$10.00) per thousand. For the purpose of  
17 computing the tax, cheroots, stogies, etc., are hereby classed as  
18 cigars; and

19       2. Upon all smoking tobacco, the tax shall be fifteen percent  
20 (15%) of the factory list price exclusive of any trade discount,  
21 special discount or deals; ~~and~~

22       ~~3. Upon smokeless tobacco, the tax shall be ten percent (10%)~~  
23 ~~of the factory list price exclusive of any trade discount, special~~  
24 ~~discount or deals.~~

1        This tax shall be paid by the consumer and no retailer may  
2 advertise that he will pay or absorb this tax.

3        The tax herein levied on tobacco products shall be collected on  
4 the same basis and in the same manner and in all respects as the tax  
5 levied by the Tobacco Products Tax Law. The revenue from this  
6 additional tax shall be apportioned by the Oklahoma Tax Commission  
7 in the same manner as provided in Section 404 of this title, for the  
8 apportionment of other tobacco products tax revenue.

9        SECTION 6.        AMENDATORY        68 O.S. 2021, Section 402-3, is  
10 amended to read as follows:

11        Section 402-3. A. In addition to the tax levied in Sections  
12 402 and 402-1 of this title, effective January 1, 2005, there shall  
13 be levied, assessed, collected, and paid in respect to the articles  
14 containing tobacco enumerated in Section 401 et seq. of this title,  
15 a tax in the following amounts:

16        1. Cigars. Upon all cigars of all descriptions made of  
17 tobacco, or any substitute therefor, and weighing more than three  
18 (3) pounds per thousand, Ninety Dollars (\$90.00) per thousand. For  
19 the purpose of computing the tax, cheroots, stogies, etc., are  
20 hereby classed as cigars; and

21        2. Smoking Tobacco. Upon all smoking tobacco, the tax shall be  
22 forty percent (40%) of the factory list price exclusive of any trade  
23 discount, special discount or deals; ~~and~~

24

1       ~~3. Smokeless Tobacco. Upon smokeless tobacco, the tax shall be~~  
2 ~~thirty percent (30%) of the factory list price exclusive of any~~  
3 ~~trade discount, special discount or deals.~~

4       B. Except as provided in subsection C of this section, the  
5 revenue resulting from the additional tax levied in subsection A of  
6 this section shall be apportioned by the Oklahoma Tax Commission and  
7 transmitted to the State Treasurer as follows:

8       1. Twenty-two and six-hundredths percent (22.06%) shall be  
9 placed to the credit of the Health Employee and Economy Improvement  
10 Act Revolving Fund created in Section 1010.1 of Title 56 of the  
11 Oklahoma Statutes;

12       2. Three and nine-hundredths percent (3.09%) shall be placed to  
13 the credit of the Comprehensive Cancer Center Debt Service Revolving  
14 Fund created in Section 160.1 of Title 62 of the Oklahoma Statutes;

15       3. Before July 1, 2008, seven and fifty-hundredths percent  
16 (7.50%) shall be placed to the credit of the Trauma Care Assistance  
17 Revolving Fund created in Section 1-2530.9 of Title 63 of the  
18 Oklahoma Statutes. On and after July 1, 2008, seven and fifty-  
19 hundredths percent (7.50%) shall be allocated as follows:

20           a. every month, an amount equal to the actual amount  
21 placed to the credit of the Trauma Care Assistance  
22 Revolving Fund pursuant to this paragraph for the same  
23 month of the 2008 fiscal year shall be credited to the  
24 Trauma Care Assistance Revolving Fund,

1           b.    every month, any amount over and above the amount  
2                   placed to the credit of the Trauma Care Assistance  
3                   Revolving Fund pursuant to subparagraph a of this  
4                   paragraph shall be credited to the Oklahoma Emergency  
5                   Response Systems Stabilization and Improvement  
6                   Revolving Fund as created in Section 1-2512.1 of Title  
7                   63 of the Oklahoma Statutes until the combined amount  
8                   credited to the Oklahoma Emergency Response Systems  
9                   Stabilization and Improvement Revolving Fund pursuant  
10                  to this section and Section 302-5 of this title is  
11                  equal to Two Million Five Hundred Thousand Dollars  
12                  (\$2,500,000.00) each year, and

13           c.    any additional revenue allocated pursuant to this  
14                   paragraph shall be placed to the credit of the Trauma  
15                   Care Assistance Revolving Fund;

16           4.    Three and nine-hundredths percent (3.09%) shall be placed to  
17                   the credit of the Oklahoma State University College of Osteopathic  
18                   Medicine Revolving Fund created in Section 160.2 of Title 62 of the  
19                   Oklahoma Statutes;

20           5.    Twenty-six and thirty-eight-hundredths percent (26.38%)  
21                   shall be placed to the credit of the Oklahoma Health Care Authority  
22                   Medicaid Program Fund created in Section 5020 of Title 63 of the  
23                   Oklahoma Statutes for the purposes of maintaining programs and  
24                   services funded under the federal "Jobs and Growth Tax Relief

1 Reconciliation Act of 2003", reimbursing city/county-owned  
2 hospitals, increasing emergency room physician rates, and providing  
3 TEFRA 134, also known as "Katie Beckett" services;

4 6. Two and sixty-five-hundredths percent (2.65%) shall be  
5 placed to the credit of the Department of Mental Health and  
6 Substance Abuse Services Revolving Fund created in Section 2-303 of  
7 Title 43A of the Oklahoma Statutes;

8 7. Forty-four-hundredths of one percent (0.44%) shall be placed  
9 to the credit of the Belle Maxine Hilliard Breast and Cervical  
10 Cancer Treatment Revolving Fund created in Section 1-559 of Title 63  
11 of the Oklahoma Statutes;

12 8. One percent (1%) shall be placed to the credit of the  
13 Teachers' Retirement System Revolving Fund created in Section 158 of  
14 Title 62 of the Oklahoma Statutes;

15 9. Two and seven-hundredths percent (2.07%) shall be placed to  
16 the credit of the Education Reform Revolving Fund created in Section  
17 34.89 of Title 62 of the Oklahoma Statutes;

18 10. Sixty-six-hundredths percent (0.66%) shall be placed to the  
19 credit of the Tobacco Prevention and Cessation Revolving Fund  
20 created in Section 1-105d of Title 63 of the Oklahoma Statutes;

21 11. Sixteen and eighty-three-hundredths percent (16.83%) shall  
22 be placed to the credit of the General Revenue Fund; and

23 12. For fiscal years beginning July 1, 2004, and ending June  
24 30, 2006, fourteen and twenty-three-hundredths percent (14.23%)

1 shall be apportioned to municipalities and counties that levy a  
2 sales tax, in the proportions which total municipal and county sales  
3 tax revenue was apportioned by the Tax Commission in the preceding  
4 month.

5 For fiscal years beginning July 1, 2006, and thereafter, the  
6 apportionment percentage specified in paragraph 12 of this  
7 subsection will be adjusted by dividing the total municipal and  
8 county sales tax revenue collected in the calendar year immediately  
9 preceding the commencement of the fiscal year by the sum of the  
10 state sales tax revenue and total municipal and county sales tax  
11 revenue collected in the same year. This ratio shall be divided by  
12 the ratio of the total municipal and county sales tax revenue  
13 collected in the calendar year beginning January 1, 2004, and ending  
14 December 31, 2004, divided by the sum of the state sales tax revenue  
15 and total municipal and county sales tax revenue collected in the  
16 same year. The resulting quotient shall be multiplied by fourteen  
17 and twenty-three-hundredths percent (14.23%) to determine the  
18 apportionment percentage for the fiscal year.

19 For fiscal years beginning July 1, 2006, and thereafter, any  
20 adjustment to the percentage of revenues apportioned to  
21 municipalities and counties shall be reflected in the percent of  
22 revenues apportioned to the General Revenue Fund.

23 C. The net amount of any revenue resulting from a payment in  
24 lieu of excise taxes on little cigars, cigars, and smoking tobacco

1 ~~and smokeless tobacco~~ levied by this section, pursuant to a compact  
2 with a federally recognized Indian tribe or nation after deductions  
3 for deposits into trust accounts pursuant to such compacts, shall be  
4 apportioned by the Tax Commission and transmitted to the State  
5 Treasurer as follows:

6 1. Thirty-three and forty-nine-hundredths percent (33.49%)  
7 shall be placed to the credit of the Health Employee and Economy  
8 Improvement Act Revolving Fund created in Section 1010.1 of Title 56  
9 of the Oklahoma Statutes;

10 2. Four and sixty-nine-hundredths percent (4.69%) shall be  
11 placed to the credit of the Comprehensive Cancer Center Debt Service  
12 Revolving Fund created in Section 160.1 of Title 62 of the Oklahoma  
13 Statutes;

14 3. Before July 1, 2008, eleven and thirty-nine-hundredths  
15 percent (11.39%) shall be placed to the credit of the Trauma Care  
16 Assistance Revolving Fund created in Section 1-2530.9 of Title 63 of  
17 the Oklahoma Statutes. On and after July 1, 2008, eleven and  
18 thirty-nine-hundredths percent (11.39%) shall be allocated as  
19 follows:

20 a. every month, an amount equal to the actual amount  
21 placed to the credit of the Trauma Care Assistance  
22 Revolving Fund pursuant to this paragraph for the same  
23 month of the 2008 fiscal year shall be credited to the  
24 Trauma Care Assistance Revolving Fund,



1           b.    every month, any amount over and above the amount  
2                   placed to the credit of the Trauma Care Assistance  
3                   Revolving Fund pursuant to subparagraph a of this  
4                   paragraph shall be credited to the Oklahoma Emergency  
5                   Response Systems Stabilization and Improvement  
6                   Revolving Fund as created in Section 1-2512.1 of Title  
7                   63 of the Oklahoma Statutes until the combined amount  
8                   credited to the Oklahoma Emergency Response Systems  
9                   Stabilization and Improvement Revolving Fund pursuant  
10                  to this section and Section 302-5 of this title is  
11                  equal to Two Million Five Hundred Thousand Dollars  
12                  (\$2,500,000.00) each year, and

13           c.    any additional revenue allocated pursuant to this  
14                   paragraph shall be placed to the credit of the Trauma  
15                   Care Assistance Revolving Fund;

16           4.    Four and sixty-nine-hundredths percent (4.69%) shall be  
17                  placed to the credit of the Oklahoma State University College of  
18                  Osteopathic Medicine Revolving Fund created in Section 160.2 of  
19                  Title 62 of the Oklahoma Statutes;

20           5.    Forty and six-hundredths percent (40.06%) shall be placed to  
21                  the credit of the Oklahoma Health Care Authority Medicaid Program  
22                  Fund created in Section 5020 of Title 63 of the Oklahoma Statutes  
23                  for the purposes of maintaining programs and services funded under  
24                  the federal "Jobs and Growth Tax Relief Reconciliation Act of 2003",

1 reimbursing city/county-owned hospitals, increasing emergency room  
2 physician rates, and providing TEFRA 134, also known as "Katie  
3 Beckett" services;

4 6. Four and one-hundredths percent (4.01%) shall be placed to  
5 the credit of the Department of Mental Health and Substance Abuse  
6 Services Revolving Fund created in Section 2-303 of Title 43A of the  
7 Oklahoma Statutes;

8 7. Sixty-seven-hundredths percent (0.67%) shall be placed to  
9 the credit of the Belle Maxine Hilliard Breast and Cervical Cancer  
10 Treatment Revolving Fund created in Section 1-559 of Title 63 of the  
11 Oklahoma Statutes; and

12 8. One percent (1%) shall be placed to the credit of the  
13 Tobacco Prevention and Cessation Revolving Fund created in Section  
14 1-105d of Title 63 of the Oklahoma Statutes.

15 D. It shall not be permissible for a retailer to advertise that  
16 the retailer will absorb the tax due on the taxable merchandise  
17 described herein. Such tax shall be paid by the consumer.

18 SECTION 7. This act shall become effective November 1, 2026.

19 COMMITTEE REPORT BY: COMMITTEE ON BUSINESS AND INSURANCE  
20 April 23, 2026 - DO PASS AS AMENDED  
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